23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three months ended March 31, 2018 and 2017 are calculated as follows:

(1) Ordinary Shares

(In millions of Korean won and thousands of number of shares)	**2018**	**2017**
Profit attributable to owners of the Parent company	₩ 11,611,833	₩ 7,488,532
Profit available for ordinary shares	10,205,137	6,568,141
Weighted-average number of ordinary shares outstanding	119,450	122,412
Basic earnings per ordinary share (in Korean won)	₩ 85,435	₩ 53,656

(2) Preference Shares

(In millions of Korean won and thousands of number of shares)	**2018**	**2017**
Profit attributable to owners of the Parent company	₩ 11,611,833	₩ 7,488,532
Profit available for preference shares	1,406,696	920,391
Weighted-average number of preference shares outstanding	16,470	17,212
Basic earnings per preference share (in Korean won)	₩ 85,408	₩ 53,473

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three months ended March 31, 2018 and 2017.

24. Cash Flows

Adjustments and changes in assets and liabilities arising from operating activities for the three months ended March 31, 2018 and 2017 are as follows:

- Adjustments

(In millions of Korean won)	2018	2017
Adjustments for:		
Income tax expense	₩ 4,487,363	₩ 2,480,222
Financial income	(1,360,610)	(1,250,044)
Financial expenses	996,852	975,942
Post-employment benefits	234,381	236,784
Depreciation	5,915,263	4,769,499
Amortization	351,073	371,959
Bad debt expenses (Reversal)	(41,591)	17,573
Dividend income	(34,327)	(31,933)
Gain on valuation of equity method	(64,364)	(19,338)
Gain on disposal of property, plant and equipment	(93,026)	(15,615)
Loss on disposal of property, plant and equipment	30,406	37,285
Obsolescence and scrapping of inventories	699,995	395,869
Gain on disposal of investments	(1,558)	(74,448)
Other income/expenses	20,651	15,757
Total	₩ 11,140,508	₩ 7,909,512

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	2018	2017
Changes in assets and liabilities :		
(Increase) decrease in trade receivables	₩ (662,078)	₩ 2,125,284
Decrease in other receivables	939,281	168,469
Increase in advance payments	(125,494)	(124,697)
(Increase) decrease in prepaid expenses	(846,478)	142,215
Increase in inventories	(2,193,860)	(3,893,502)
Increase in trade payables	142,328	3,083,919
Decrease in other payables	(664,587)	(637,142)
Decrease in advances received	(123,362)	(224,138)
Decrease in withholdings	(29,016)	(124,745)
Decrease in accrued expenses	(4,011,462)	(3,731,064)
Increase in provisions	908,753	1,039,796
Payment of post-employment benefits	(110,481)	(199,537)
Other	(26,065)	(835,943)
Total	₩ (6,802,521)	₩ (3,211,085)